

HBITS Pricing Strategy

Briefing for IDIQ Pricing Quality Review

A transparent walkthrough of the context, narrative, formulas, data provenance, and known limitations behind Best Pegasus's Hourly-Based IT Services bid pricing - structured so a State-level IDIQ pricing strategist can independently quality-test every assumption.

NYS OGS Group 73012 - Award 23158 / Solicitation 23311

Bid opening 7/1/2026 - 5-year term + 2-year option

Persona: Federal/State Government Pricing & Capture - Confidential, for internal review

1 - Executive Summary

New York State OGS procures Hourly-Based IT Services (HBITS) through a centralized, non-negotiated, fixed-bill-rate contract. Bidders submit Not-To-Exceed (NTE) hourly bill rates for 31 job titles x 4 skill levels x 3 regions; those rates are firm for the life of each placement.

Best Pegasus pricing is modeled in two versions:

- Version 1 (Baseline) - from an internal cost/CPI estimation; lands in the expensive third of the field.
- Version 1.1 (Rank Positioning) - the current formula; reverse-engineers the competitor field and prices each role to a target rank of #19 of 33 bidders (mid-field).

FOR THE REVIEWER

This briefing exists to be challenged. Section 11 lists the assumptions and design choices that most warrant scrutiny - starting with whether a flat mid-field rank target is compatible with the MSP's 50% price filter.

2 - Procurement Context

The vehicle

HBITS (Group 73012, Award 23158, refreshed under Solicitation 23311) serves state agencies, local governments, school districts, public authorities and eligible non-profits. Term: five years + two-year option; bid opening 7/1/2026. Prior-award task orders continue on their own terms, so transition rates are decisive.

Three regions

Region	Coverage	Character
Region 1	All NY counties outside R2/R3 (Albany hub)	Statewide baseline; most placements
Region 2	Dutchess, Orange, Putnam (Mid-Hudson)	Mid-market labor rates
Region 3	NYC metro (Nassau, Suffolk, Westchester, the 5 boroughs, Rockland)	Highest labor cost

The MSP price filter - the critical mechanic

Before any technical evaluation, a Managed Service Provider applies a price filter to candidate submissions:

- 10-40 candidates: only the lowest 50% of bill rates are forwarded (plus any within 1% of the cutoff).
- 6-10 candidates: only the 5 lowest bill rates are forwarded.
- 5 or fewer: filter bypassed - all candidates forwarded.

WHY THIS MATTERS

For high-volume roles the pool exceeds 10, so only the lowest half survive. A rate at rank #19 of 33 sits in the upper half and would be filtered out before technical review. See Section 11, item A.

3 - The Strategic Story

HBITS is engineered to be price-driven and transparent, creating a tension every bidder must resolve:

- Bid too high (large markup): protect margin per placement, but get filtered out of high-volume task orders.
- Bid too low (small markup): pass the filter and win volume, but compress margin and starve overhead.

Second-order effect on talent: because the bill rate is fixed, a low-markup vendor can pay the consultant a higher wage for the same bill rate than a high-markup competitor - recruiting better people and earning higher agency satisfaction. e.g. at a Business Analyst Junior bill of \$40.33, an 11% markup pays ~\$36.33 vs a 47% markup paying ~\$27.43.

4 - Core Pricing Formula

Every bill rate is the consultant wage grossed up by the vendor markup:

$$R_{\text{bill}} = R_{\text{wage}} \times (1 + M / 100) \quad // \quad HBR_{\text{NTE}} = HWR \times (1 + \text{markup})$$

Markup M must cover payroll taxes, insurance, overhead & G&A, the OGS administrative fee, and net profit.

Annual CPI escalation (Section 6.5)

$$\text{Price Adjustment (\%)} = (CPI_t - CPI_{t-12}) / CPI_{t-12} \times 100$$

Escalation is NOT automatic - the contractor must file with BLS index sheets in a 90-day window before each anniversary, or forfeit that year's adjustment.

Anchor	Index basis	Multiplier
2025 -> 2021 (de-escalation)	270.970 / 321.943	0.8417 (-15.83%)
2025 -> 2026 (bid year)	Apr2026 333.020 / Apr2025 320.795	1.0381 (+3.81%)
2026 -> 2029 (CBO/Fed)	2.4% / 2.3% / 2.3%	1.0716 (+7.16%)

5 - Version 1: Baseline Formula

Version 1 uses Best Pegasus's internally estimated Bid Year 2026 bill rates (the 'NYS OGS IT Vendor Rate Estimation'), built bottom-up from labor benchmarks and the CPI multipliers, presented as Region 1 averages.

- Covers 30 of 31 titles - the source document omits Business Analyst.
- Region 1 values applied across all three regions.
- Competitive position: expensive third (e.g. Programmer / R1 / Senior ranks #26 of 33).

LIMITATION

A purely cost-up baseline ignores where competitors actually sit, so it tends to price above the filter cutoff for commodity roles. This motivated Version 1.1.

6 - Version 1.1: Rank Positioning Formula (current)

A market-relative rule. For each Title x Region x Skill it inspects the live competitor field and places Best Pegasus at a chosen target rank (default #19 of 33 - 18 competitors below, 14 above).

Sort competitors ascending: $c(1) \leq c(2) \leq \dots \leq c(32)$

Choose B^* such that $c(18) < B^* < c(19) \Rightarrow$ rank 19 (18 below, 14 above)

$B^* = \text{midpoint}(c(18), c(19))$ at whole cents, nudged for exactly 18 below and no tie.

- Computed independently per region (regional competitor sets differ).
- 356 / 372 roles hit exactly #19. 16 / 372 land at #18 because the 18th and 19th cheapest competitors are tied (an exact #19 is impossible) - the nearest, more-competitive rank is used.
- Covers all 31 titles, including Business Analyst.
- Target rank is a single tunable parameter - the Bid Builder re-ranks live (e.g. #10, #15).

STRENGTH

Self-calibrating to the actual field, region-specific, fully transparent, and reproducible from public award-notice data.

7 - Data Foundation & Provenance

- Source: public OGS award-notice pricing schedules (Attachment 1) per awarded contractor under Award 23158.
- Coverage: 32 competitor rate cards, each parsed to exactly 372 rows (31 titles x 4 skills x 3 regions).
- Currency rule: only each vendor's latest effective date is kept - their current contracted NTE rate.
- Best Pegasus is added as a 33rd bidder per combo under the selected formula version.

Metric	Value
Competitors	32
Bidders per role (incl. us)	33
Role combinations	372
Competitor markups observed	11% - 110%
Roles at exactly #19 (v1.1)	356
Roles at nearest rank / ties	16

PROVENANCE CAVEAT

Many incumbents' latest effective date is pre-2025 and un-escalated, so the low end of the field reflects stale rates. Ranking a 2026 rate against a 2019 rate is not strictly like-for-like - Section 11, item B.

8 - Margin & Cost-Build Decomposition

$\text{Net profit} = (\text{R_bill} - \text{R_wage}) - \text{R_wage} \times (\text{payroll} + \text{insurance} + \text{overhead}) - \text{R_bill} \times \text{OGSfee}$

$\text{Net margin\%} = \text{Net profit} / \text{R_bill} \times 100$

Defaults: payroll taxes 13.5%, insurance 3.5%, overhead+G&A 10.5% (of wage); OGS fee 0.75% (of bill); markup sets the wage.

Markup	Implied wage (of bill)	Net margin (approx)
30%	~77%	~1-2%
40%	~71%	~8%
45%	~69%	~11%

KEY PROPERTY

Because cost loadings are a % of wage, net margin is driven almost entirely by the markup, not the role. Rank-#19 bill rates require ~40-45% markup to clear a healthy (~10%) margin - which lowers the wage we can offer (recruiting risk) and, for high-volume roles, pushes us toward the filter cutoff.

9 - Competitive Landscape

Archetype	Markup	Examples	Play
High-volume / low-margin	11-33%	CTS (11%), GCOM (30%), Broad Crossing (33%)	Win volume; scale-dependent
Mid-market	38-52%	Mindlance (38%), Sligo (47%), Experis (50%)	Balanced
Aggregator / niche-high	65-110%	Spruce (65%), CMA/OST (80%), KBI (110%)	Margin on scarce, filter-bypassing roles

Doctrine: tier the markup - low (15-25%) for commodity, high-supply roles to pass the 50% filter; higher (35-45%) for scarce roles (Cloud Engineer, Architects, Security Manager) whose pools fall below 5 and bypass the filter.

10 - Quality-Test Checklist (what to scrutinize)

- [CRITICAL] A. Does rank #19 survive the MSP 50% filter? In a 33-bidder high-volume pool only the lowest ~16-17 are forwarded - #19 is in the upper half and would be filtered out. Should the target be ≤ 16 for commodity roles?
- [CRITICAL] B. Are competitor benchmarks current? Many incumbent rates are pre-2025 / un-escalated. Should we escalate competitor rates to 2026-equivalents (CPI) before ranking?
- [MATERIAL] C. Flat rank vs tiered strategy. A single #19 target ignores role scarcity. Should the target vary by title?
- [MATERIAL] D. Margin vs recruiting. ~1-2% margin at 30% markup; ~10% needs ~45%, which lowers payable wage. Validate the trade-off.
- [MATERIAL] E. Wage & cost-build assumptions. Replace the assumed 30% markup / illustrative loadings with audited rates.
- [CHECK] F. 10-year profitability decay - CPI escalation trails IT wage inflation; model margin erosion over 5+2 years.
- [CHECK] G. Tie-affected roles - 16 of 372 land at #18; confirm acceptable.
- [CHECK] H. Data completeness - are all 32 cards the full awarded pool?
- [CHECK] I. Region modeling - confirm regional competitor sets are genuinely distinct.
- [CHECK] J. Escalation compliance - workflow to file the CPI adjustment within the window each anniversary.

11 - Risks, Assumptions & Limitations

- Assumption: competitors re-bid at/near current Award 23158 rates under 23311 (their 2026 bids are unknown).
- Assumption: the MSP filter mechanics carry forward unchanged.
- Limitation: displayed Best Pegasus wage and margin are illustrative pending audited cost data.
- Limitation: Version 1 omits Business Analyst (source-document gap).
- Limitation: ranking treats each vendor's latest effective rate as current regardless of its year.

12 - Glossary

NTE - Not-To-Exceed bill rate. HWR - Hourly Wage Rate (consultant; contractual minimum). HBR - Hourly Bill Rate (billed to State). MSP - Managed Service Provider (runs the price filter). CPI-U - Consumer Price Index, All Urban Consumers (CUUR0000SA0). IDIQ - Indefinite-Delivery/Indefinite-Quantity.